

Legal Entity Structuring Proposal — TrueSight DAO

Prepared: 2026-06-22 | **Context:** SVH Capital cacao circle — June 26

1. Executive Summary

Three signals are turning from grey to red:

Signal	Status	Why Now
DAO legal wrapper	■ Red	Member liability shield (Ooki DAO precedent), DAO bank account, governance clarity for TDG holders
Impact fund capital injection	■ Red	Impact funds, foundations, corporate ESG have no entity to write checks to
Personal bank account	■ Red	Gary's personal account is the bottleneck — more volume = more personal risk

The core structure

Wyoming UNA/DUNA (nonprofit, DAO legal wrapper)

- Own bank account (partner contributions + impact fund capital)
- TDG holders govern the DUNA (pseudonymous — wallet only)
- TrueTech Inc = DAO-operated facility (customs/FDA, not a member)
- Own bank account (import expenses, TDG buyback to burn)
- Brazilian LTDA (CNPJ) = export facility (eventually DUNA-owned)

Key design decisions

- TrueTech Inc = DAO-operated facility — Not a member. No TDG compensation. No voting rights.
- Two separate bank accounts — TrueTech Inc (commercial) + DUNA (mission/treasury)
- TDG buyback to burn — TrueTech Inc buys TDG from DApp when members exit, burns it
- UNA to DUNA auto-conversion — OtoCo handles via smart contract at 100 members
- Wise as single banking platform — Both entities use Wise Business accounts
- Brazil CNPJ eventually DUNA-owned — Removes single-person dependency on Matheus

2. Current State Assessment

Financial Flows

Current (problematic):

Brazil Farmers to Matheus (private CNPJ) to Export to TrueTech Inc to Gary's personal bank account to DAO expenses

Target (with DUNA):

Brazil Farmers to DUNA-owned CNPJ to Export to TrueTech Inc (facility) to TrueTech Inc account

Partners (Nora, etc.) to DUNA bank account to tree planting / DAO expenses

Impact funds to DUNA bank account to tree planting / carbon credits

Member exit to TrueTech Inc buys TDG from DApp to TDG burned

Treasury Snapshot

Item	Amount
Main Ledger USD	\$3,476.27
Main Ledger USDT	\$66.93
Main Ledger Brazilian Reis	R\$2,511.97 (~\$583.53 USD)
Total available cash	~\$4,126.73
TDG issued	~2.3M tokens across ~350 contributors

Only Main Ledger cash is available. Managed ledgers are earmarked for cacao shipment financing.

3. CTA Beneficial Ownership — Who Reports

Under the Corporate Transparency Act, anyone with substantial control or 25%+ ownership must report BOI to FinCEN.

Rank	Contributor	% Controlled	CTA Trigger?
1	Gary Teh	40.76%	Yes — over 25% + substantial control
2-350+	All others	under 3% each	No

Result: Only Gary needs to report. Every other TDG holder (~350 people) remains pseudonymous — wallet address only.

4. Impact Fund Capital Injection Pathways

Pathway	Timeline	Tax Deductible?
A: Direct donation to DUNA	Immediate after DUNA formed	No (but fund can still donate via PRIs, TDG-for-capital)
B: Fiscal sponsorship bridge	1-3 months	Yes (via sponsor like The Giving Block)
C: DUNA's own 501(c)(3)	6-12 months	Yes (directly from DUNA)

The pitch for Pathway A: Fund tree planting through our Wyoming DUNA. You get verified impact reports, future carbon credits, and voting rights in the DAO. Tax-deductible receipts coming once we secure 501(c)(3) status.

5. Implementation Timeline — Parallel Tracks

Track	What	Cost	Timeline
Track A: TrueTech Inc Wise	Opens Wise Business account for commercial transactions	\$0-500	This week (1-2 days)
Track B: UNA Formation	Gary + TrueTech Inc sign OtoCo to UNA formed	~\$50 gas	This week (1 day)
Track C: UNA Wise	UNA gets EIN to opens its own Wise Business account	\$0	2-4 weeks

No dependency between tracks. TrueTech Inc's account handles commercial immediately. UNA account handles mission when ready.

6. Existing Buyback Infrastructure

The DAO already has a functioning TDG buyback mechanism:

Component	Status
getDailyTdgBuyBackBudget() (GAS)	Live — fetches budget from Performance Statistics
buyback_sol_to_tdg.ts (TypeScript)	Live — executes SOL to TDG swap on Raydium
daily-buyback.yml (GitHub Action)	Live — runs daily at 05:00 UTC
Performance Statistics sheet	Live — TDG_DAILY_BUY_BACK_BUDGET = \$0.093/day

What needs to change for the new model: Add a buy from DApp to burn path alongside the existing Raydium path. Scale the budget when impact fund capital arrives.

7. Resource Gap Analysis

What We Have

- Mission clarity, on-chain governance, physical supply chain
- Tree-planting pipeline, partner network, carbon credit potential
- AWS/Edgar/tokenomics infrastructure, SVH Capital connection
- Wise banking relationship, TDG buyback infrastructure

What We Need

Need	Est. Cost
Legal counsel (DUNA to Brazil CNPJ)	\$5K-15K
501(c)(3) tax attorney	\$2K-10K
Brazilian legal representative	\$1K-3K
Multi-entity accounting	\$2K-5K/yr

8. Questions for SVH Capital (June 26)

1. DUNA formation: Can you refer us to a Wyoming law firm specializing in DUNA formation for DAOs?
2. Cost efficiency: Is OtoCo's on-chain UNA to DUNA path sufficient for our stage, or do we need full-service counsel?
3. 501(c)(3) pathway: Realistic timeline and cost for IRS exemption for a DAO that plants trees?
4. Brazilian entity: Can a Wyoming DUNA own a Brazilian LTDA, or does it need a US holding LLC in between?
5. Governance clarity: How do we structure the DUNA so TDG holders clearly govern the DAO, and TrueTech Inc is clearly a facility — not the thing being governed?
6. TDG buyback to burn: Can TrueTech Inc buy and burn TDG from the DApp as an operational expense, without creating governance or nonprofit distribution concerns?
7. Impact fund capital: Can a Wyoming UNA issue TDG to impact funds in exchange for capital contributions, without securities law concerns?

9. Service Provider Reference

Service	Link
OtoCo (UNA formation)	https://otoco.io
Wise (banking)	https://wise.com
IRS EIN	https://www.irs.gov/ein
The Giving Block (fiscal sponsorship)	https://thegivingblock.com
Endaoment (on-chain fiscal sponsorship)	https://endaoment.org

Appendix: OtoCo UNA Formation Steps

1. Go to <https://otoco.io>
2. Connect wallet (MetaMask or compatible)
3. Select Summon a UNA
4. 2+ wallet addresses sign the smart contract
5. Pay gas (~\$50)
6. UNA is formed — receive UNA Declaration + Operating Agreement
7. Apply for EIN at <https://www.irs.gov/ein> (free)
8. Open Wise Business account using UNA's EIN
9. When membership exceeds 100 wallets, UNA auto-converts to DUNA

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